

House File 2469 - Introduced

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BY MCBURNEY

A BILL FOR

1 An Act prohibiting the use of an automated decision-making
2 system to alter the price of a product or service for
3 a specific individual based on surveillance data, and
4 providing civil penalties.
5 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. NEW SECTION. **554J.1 Definitions.**

2 For purposes of this chapter:

3 1. "*Automated decision-making system*" means a system that
4 uses artificial intelligence or algorithms to make decisions or
5 predictions with little or no human intervention.

6 2. "*Surveillance data*" means data obtained through
7 observation, inference, or surveillance of an individual that
8 is related to the characteristics, behaviors, salaries, or
9 biometrics of the individual or a group to which the individual
10 belongs.

11 Sec. 2. NEW SECTION. **554J.2 Automated decision-making**
12 **systems — prohibited acts.**

13 1. A person shall not use an automated decision-making
14 system to alter the price of a product or service for a
15 specific individual based on surveillance data.

16 2. A person that violates this section commits an unfair
17 practice under section 714.16 and under chapter 714H.

18 Sec. 3. NEW SECTION. **554J.3 Limitations.**

19 This chapter does not apply to the use of an automated
20 decision-making system to alter the price of a product or
21 service for a specific individual for any of the following
22 reasons:

23 1. Due to the difference in costs to provide a product or
24 service to a specific individual.

25 2. Due to a bona fide discount that is widely available to
26 members of the public, including but not limited to membership
27 discounts, military and student discounts, senior discounts,
28 and discounts due to a special event.

29 3. When the person using an automated decision-making
30 system is an insurer using the automated decision-making system
31 to determine the amount a consumer must pay for an insurance
32 policy or contract.

33 4. When the person using an automated decision-making
34 system is using the automated decision-making system to
35 determine whether to extend a line of credit to, or refuse to

1 enter into a transaction with, an individual based on data
2 provided in a consumer report covered by the federal Fair
3 Credit Reporting Act, 15 U.S.C. §1681 et seq.

4 Sec. 4. NEW SECTION. 554J.4 Attorney general rulemaking
5 authority.

6 The attorney general shall adopt rules pursuant to chapter
7 17A to implement and enforce this chapter.

8 Sec. 5. Section 714.16, subsection 2, Code 2026, is amended
9 by adding the following new paragraph:

10 NEW PARAGRAPH. *t.* It is an unlawful practice for a person
11 to violate section 554J.2.

12 Sec. 6. Section 714H.3, subsection 2, Code 2026, is amended
13 by adding the following new paragraph:

14 NEW PARAGRAPH. *Of.* Section 554J.2.

15 EXPLANATION

16 The inclusion of this explanation does not constitute agreement with
17 the explanation's substance by the members of the general assembly.

18 This bill prohibits the use of an automated decision-making
19 system to alter the price of a product or service for a
20 specific individual based on surveillance data. A person who
21 violates the bill's provisions commits an unlawful practice
22 and shall be subject to civil action according to Code section
23 714.16 (consumer fraud) and Code chapter 714H (consumer fraud
24 — private action), which can result in remedies including
25 but not limited to an injunction, restoration of a person's
26 money or property, disgorgement of moneys or property, a civil
27 penalty of up to \$40,000 per violation, and liability pursuant
28 to a private cause of action.

29 The bill lists several instances when a person may use
30 an automated decision-making system to alter the price of a
31 product or service for a specific individual.

32 The bill defines "automated decision-making system" as a
33 system that uses artificial intelligence or algorithms to make
34 decisions or predictions with little or no human intervention.

35 The bill defines "surveillance data" as data obtained

1 through observation, inference, or surveillance of an
2 individual that is related to the characteristics, behaviors,
3 salaries, or biometrics of the individual or a group to which
4 the individual belongs.